

key control factor for setting the risk and if you set it too low, you will not be able to get enough returns to attract capital, but if you set it too high, you risk having the kinds of drawdowns that scare investors off.

When you are making this call, keep in mind that the maximum drawdown will probably be higher than what your simulations predict and perhaps it will happen soon after your launch. The fact of the matter is that this happens more often than one might think. The real reason why a new fund starts with this type of strategy and finds sufficient initial investors for it may be that trend-following strategies just had a very good run and got plenty of attention. This is exactly what happened to so many new funds after 2008. This strategy absolutely dominated the headlines and massively outperformed practically all other strategies, except of course those who were massively betting against the Credit Default Swaps markets. It is much easier to find traction for a venture like this after a very good return period and investors tend to come into these funds after these good years. The problem is that they will come in with an expectation that the good times will continue in the near future, and, as we have seen in this book, this is not often the case. After a very strong performance period, we are likely to see some troubled times, large drawdowns, and volatile years of sideways or losing results.

Funds that launched just after 2008, or after other good periods as well for that matter, found themselves in a very dangerous position. If you invested in a typical trend-following futures fund at the start of 2009, after having read all about the strategy that beat the markets in the otherwise disaster year that had just passed, you would be in for a very tough ride. Most trend followers had large losses in 2009, many over 20% drawdowns during that year. Plenty of the new capital that came into trend-following funds in early 2009 had already left by the end of that year as investors got scared over the difference in what they thought they would get and what reality looked like. For those who stayed in, 2010 was for the most part a bad year as well. In the last half of 2010, the profitable trends came back and started making the money back for the patient investors.

So if you had launched a new fund in early 2009, you would find yourself over a year and a half later with a likely drawdown of 20–25%, perhaps more. A fund that had been in business a couple of decades longer with a good track record could survive this, but a new fund likely would not.

What I want to say about this is, be very careful when you start out. If you set a high risk level, you may perhaps look like a hero if you get lucky and get some good trends soon after the launch, but if you are unlucky and get a